

Section 4.2: Meal Expenses

- Business meals are 50% deductible if they are directly related to business operations.
- Meals must have a clear business purpose and be documented with the date, attendees, and business discussed.
- Total deduction cannot exceed 50% of the total meal expense.

Section 7.1: Office Rent

- Rent for a dedicated business office is 100% deductible.
- Home office deduction: if you use a portion of your home exclusively for business, you can deduct \$5 per square foot (max 300 sq ft).

Section 9.3: Payroll

- Salaries paid to employees are fully deductible.
- Contractor payments over \$600 require a 1099 form.

Section 12.5: Supplies

- Office supplies (paper, ink, etc.) are 100% deductible in the year they are purchased.
- Equipment over \$2,500 must be depreciated over 5 years.